

CENTRAL COALFIELDS LIMITED

(A Mini Ratna PSU)
A Subsidiary of Coal India Limited



Particulars	General Reserve	Retained Earnings	OCI	Equity Attributable to Equity Shareholders	Non—controlling Interest	Total
Changes in accounting policy or prior period errors	—	—	—	—	—	—
Profit for the year	—	1,222.23	(64.28)	1,157.95	0.34	1,158.29
Adjustments during the year	—	—	—	—	—	—
Appropriations						—
Transfer to / from General reserve	60.69	(60.69)	—	—	—	—
Transfer to / from Other reserves	—	—	—	—	—	—
Interim Dividend	—	—	—	—	—	—
Final Dividend	—	—	—	—	—	—
Corporate Dividend tax	—	—	—	—	—	—
Buyback of Equity Shares	—	—	—	—	—	—
Tax on Buyback	—	—	—	—	—	—
Adjustment of Pre—operative expenses	—	—	—	—	—	—
Reimbursement of Defined Benefit Plan (Net of Tax)	—	—	—	—	—	—
Balance as at 31.03.2021	2,306.78	4,478.14	(174.08)	6,610.84	23.92	6,634.76

CORPORATE OVERVIEW

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FINANCIAL STATEMENTS



SIGNIFICANT ACCOUNTING POLICIES

NOTE 1 : CORPORATE INFORMATION

Central Coalfields Limited (CCL), a Miniratna company, is a 100% subsidiary of Coal India Limited (A Government of India Undertaking) having its registered office at Darbhanga House, Ranchi, Jharkhand – 834029.

The Company is mainly engaged in mining and production of Coal and also operates Coal washeries. The major consumers of the company are power and steel sectors. Consumers from other sectors include cement, fertilisers, brick kilns etc.

CCL has a joint venture agreement with IRCON International Limited & Government of Jharkhand named Jharkhand Central Railway Limited (JCRL). The basic objective of JCRL is to build, construct, operate and maintain identified Rail Corridor Projects that are critical for evacuation of coal from mines in the State of Jharkhand which shall be used for both freight and passenger services and to develop required rail infrastructure including construction of railway lines together with all related facilities etc.

NOTE 2 : SIGNIFICANT ACCOUNTING POLICIES

2.1 Basis of preparation of financial statements

The financial statements of the Company have been prepared in accordance with Indian Accounting Standards (Ind AS) notified under the Companies (Indian Accounting Standards) Rules, 2015.

The Consolidated financial statements of the company have been prepared on historical cost basis of measurement, except for

- certain financial assets and liabilities measured at fair value (refer accounting policy on financial instruments in para 2.15);
- Defined benefit plans- plan assets measured at fair value;
- Inventories at Cost or NRV whichever is lower (refer accounting policy in para no. 2.21).

2.1.1 Rounding of Amounts

Amounts in these financial statements have, unless otherwise indicated, have been rounded off to 'rupees in Crore' upto two decimal points.

2.2 Basis of Consolidation

2.2.1 Subsidiaries

Subsidiaries are all entities over which the Company has control. The Company controls an

entity when the Company is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power to direct the relevant activities of the entity. Subsidiaries are fully consolidated from the date on which control is transferred to the Company. They are deconsolidated from the date when control ceases.

The acquisition method of accounting is used to account for business combinations by the Company.

The Company combines the financial statements of the parent and its subsidiaries line by line adding together like items of assets, liabilities, equity, cash flows, income and expenses. Inter-company transactions, balances and unrealised gains on transactions between group companies are eliminated. Unrealised losses between group companies are also eliminated unless the transaction provides evidence of an impairment of the transferred asset. All the companies within CCL Consolidated normally uses accounting policies as adopted by the CIL Consolidated for like transactions and events in similar circumstances. In case of significant deviations of a particular constituent company within CCL Consolidated, appropriate adjustments are made to the financial statement of such constituent company to ensure conformity with the CIL Consolidated accounting policies.

Non-controlling interests in the results and equity of subsidiaries are shown separately in the consolidated statement of profit and loss, consolidated statement of changes in equity and balance sheet respectively.

2.2.2 Associates

Associates are all entities over which the Company has significant influence but no control or joint control. This is generally the case where the Company holds between 20% and 50% of the voting rights.

Investments in associates are accounted for using the equity method of accounting, after initially being recognised at cost, except when the investment, or a portion thereof, classified as held for sale, in which case it is accounted in accordance with Ind AS 105.

The Company impairs its net investment in the associates on the basis of objective evidence.



2.2.3 Joint arrangements

Joint arrangements are those arrangements where the Company is having joint control with one or more other parties.

Joint control is the contractually agreed sharing of control of the arrangement which exist only when decisions about the relevant activities require the unanimous consent of the parties sharing control.

Joint Arrangements are classified as either joint operations or joint ventures. The classification depends on the contractual rights and obligations of each investor, rather than the legal structure of the joint arrangement.

2.2.4 Joint Operations

Joint operations are those joint arrangements whereby the Company is having rights to the assets and obligations for the liabilities relating to the arrangements.

Company recognises its direct right to the assets, liabilities, revenues and expenses of joint operations and its share of any jointly held or incurred assets, liabilities, revenues and expenses. These have been incorporated in the financial statements under the appropriate headings.

2.2.5 Joint ventures

Joint ventures are those joint arrangements whereby the Company is having rights to the net assets of the arrangements.

Interests in joint ventures are accounted for using the equity method, after initially being recognised at cost in the consolidated balance sheet.

Investments in Joint venture are accounted for using the equity method of accounting, after initially being recognized at cost, except when the investment, or a portion thereof, classified as held for sale, in which case it is accounted in accordance with Ind AS 105.

The Company impairs its net investment in the joint venture on the basis of objective evidence.

2.2.6 Equity method

Under the equity method of accounting, the investments are initially recognised at cost and adjusted thereafter to recognise the Company's share of the post-acquisition profits or losses of the investee in profit and loss, and the Company's share of other comprehensive income of the investee in other comprehensive income. Dividends received or receivable from associates

and joint ventures are recognised as a reduction in the carrying amount of the investment.

When the Company's share of losses in an equity-accounted investment equals or exceeds its interest in the entity, including any other unsecured long-term receivables, the Company does not recognise further losses, unless it has incurred obligations or made payments on behalf of the other entity.

Unrealised gains on transactions between the Company and its associates and joint ventures are eliminated to the extent of the Company's interest in these entities. Unrealised losses are also eliminated unless the transaction provides evidence of an impairment of the asset transferred. Accounting policies of equity accounted investees have been changed where necessary to ensure consistency with the policies adopted by the Company.

2.2.7 Changes in ownership interests

The Company treats transactions with non-controlling interests that do not result in a loss of control as transactions with equity owners of the Company. A change in ownership interest results in an adjustment between the carrying amounts of the controlling and non-controlling interests to reflect their relative interests in the subsidiary. Any difference between the amount of the adjustment to non-controlling interests and any fair value of consideration paid or received is recognised within equity.

When the Company ceases to consolidate or equity account for an investment because of a loss of control, joint control or significant influence, any retained interest in the entity is re-measured to its fair value with the change in carrying amount recognised in profit or loss. This fair value becomes the initial carrying amount for the purposes of subsequently accounting for the retained interest as an associate, joint venture or financial asset. In addition, any amounts previously recognised in other comprehensive income in respect of that entity are accounted for as if the Company had directly disposed of the related assets or liabilities. This may mean that amounts previously recognised in other comprehensive income are reclassified to profit or loss.

If the ownership interest in a joint venture or an associate is reduced but joint control or significant influence is retained, only a proportionate share of the amounts previously recognised in other



comprehensive income are reclassified to profit or loss where appropriate.

2.3 Current and non-current Classification

The Company presents assets and liabilities in the Balance Sheet based on current/ non-current classification. An asset is treated as current by the Company when:

- it expects to realise the asset, or intends to sell or consume it, in its normal operating cycle;
- it holds the asset primarily for the purpose of trading;
- it expects to realise the asset within twelve months after the reporting period; or
- the asset is cash or a cash equivalent (as defined in Ind AS 7) unless the asset is restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period. All other assets are classified as non-current.

A liability is treated as current by the Company when:

- it expects to settle the liability in its normal operating cycle;
- it holds the liability primarily for the purpose of trading;
- the liability is due to be settled within twelve months after the reporting period; or
- it does not have an unconditional right to defer settlement of the liability for at least twelve months after the reporting period. Terms of a liability that could, at the option of the counterparty, result in its settlement by the issue of equity instruments do not affect its classification.

All other liabilities are classified as non-current.

2.4 Revenue recognition

Ind AS 115, Revenue from Contracts with Customers supersedes Ind AS 11 Construction Contracts and Ind AS 18 Revenue recognition, and it applies to all revenue arising from contracts with its customers. Ind AS 115 establishes a five-step model to account for revenue arising from contracts with customers and requires that revenue be recognized at an amount that reflects the consideration to which a Company expects to be entitled in exchange for transferring goods or services to a customer. Coal India Limited ('CIL' or 'the company') has adopted Ind AS 115 using the retrospective method of adoption.

Ind AS 115 requires entities to exercise judgement, taking into consideration all of the relevant facts and circumstances when applying each step of the model to contracts with their customers. The standard also

specifies the accounting for the incremental costs of obtaining a contract and the costs directly related to fulfilling a contract.

2.4.1 Revenue from contracts with customers

Coal India Limited is an Indian state controlled enterprise headquartered in Kolkata, West Bengal, India and the largest coal producing company in the world. Revenue from contracts with customers is recognized when control of the goods or services are transferred to the customer at an amount that reflects the consideration to which the Company expects to be entitled in exchange for those goods or services. The Company has generally concluded that it is the principal in its revenue arrangements because it typically controls the goods or services before transferring them to the customer.

The principles in Ind AS 115 are applied using the following five steps:

Step 1 : Identifying the contract

The Company account for a contract with a customer only when all of the following criteria are met:

- the parties to the contract have approved the contract and are committed to perform their respective obligations;
- the Company can identify each party's rights regarding the goods or services to be transferred;
- the Company can identify the payment terms for the goods or services to be transferred;
- the contract has commercial substance (i.e. the risk, timing or amount of the Company's future cash flows is expected to change as a result of the contract); and
- it is probable that the Company will collect the consideration to which it will be entitled in exchange for the goods or services that will be transferred to the customer. The amount of consideration to which the Company will be entitled may be less than the price stated in the contract if the consideration is variable because the Company may offer the customer a price concession, discount, rebates, refunds, credits or be entitled to incentives, performance bonuses, or similar items.

Combination of contracts

The Company combines two or more contracts entered



into at or near the same time with the same customer (or related parties of the customer) and account for the contracts as a single contract if one or more of the following criteria are met:

- the contracts are negotiated as a package with a single commercial objective;
- the amount of consideration to be paid in one contract depends on the price or performance of the other contract; or
- the goods or services promised in the contracts (or some goods or services promised in each of the contracts) are a single performance obligation.

Contract modification

The Company account for a contract modification as a separate contract if both of the following conditions are present:

- the scope of the contract increases because of the addition of promised goods or services that are distinct and
- the price of the contract increases by an amount of consideration that reflects the company's stand- alone selling prices of the additional promised goods or services and any appropriate adjustments to that price to reflect the circumstances of the particular contract.

Step 2 : Identifying performance obligations

At contract inception, the Company assesses the goods or services promised in a contract with a customer and identify as a performance obligation each promise to transfer to the customer either:

- a good or service (or a bundle of goods or services) that is distinct; or
- a series of distinct goods or services that are substantially the same and that have the same pattern of transfer to the customer.

Step 3 : Determining the transaction price

The Company consider the terms of the contract and its customary business practices to determine the transaction price. The transaction price is the amount of consideration to which the company expects to be entitled in exchange for transferring promised goods or services to a customer, excluding amounts collected on behalf of third parties. The consideration promised in a contract with a customer may include fixed amounts, variable amounts, or both.

When determining the transaction price, an Company consider the effects of all of the following:

- Variable consideration;

- Constraining estimates of variable consideration;
- The existence of significant financing component;
- Non – cash consideration;
- Consideration payable to a customer.

An amount of consideration can vary because of discounts, rebates, refunds, credits, price concessions, incentives, performance bonuses, or other similar items. The promised consideration can also vary if the company's entitlement to the consideration is contingent on the occurrence or non-occurrence of a future event.

In some contracts, penalties are specified. In such cases, penalties are accounted for as per the substance of the contract. Where the penalty is inherent in determination of transaction price, it form part of variable consideration.

The Company includes in the transaction price some or all of an amount of estimated variable consideration only to the extent that it is highly probable that a significant reversal in the amount of cumulative revenue recognized will not occur when the uncertainty associated with the variable consideration is subsequently resolved.

The Company does not adjust the promised amount of consideration for the effects of a significant financing component if it expects, at contract inception, that the period between when it transfers a promised goods or service to a customer and when the customer pays for that good or service will be one year or less.

The Company recognizes a refund liability if the Company receives consideration from a customer and expects to refund some or all of that consideration to the customer. A refund liability is measured at the amount of consideration received (or receivable) for which the company does not expect to be entitled (i.e. amounts not included in the transaction price). The refund liability (and corresponding change in the transaction price and, therefore, the contract liability) is updated at the end of each reporting period for changes in circumstances.

After contract inception, the transaction price can change for various reasons, including the resolution of uncertain events or other changes in circumstances that change the amount of consideration to which the Company expects to be entitled in exchange for the promised goods or services.

Step 4 : Allocating the transaction price

The objective when allocating the transaction price is for the Company to allocate the transaction price to each performance obligation (or distinct good or service) in an amount that depicts the amount of



consideration to which the Company expects to be entitled in exchange for transferring the promised goods or services to the customer.

To allocate the transaction price to each performance obligation on a relative stand-alone selling price basis, the Company determines the stand-alone selling price at contract inception of the distinct good or service underlying each performance obligation in the contract and allocate the transaction price in proportion to those stand-alone selling prices.

Step 5 : Recognizing revenue

The Company recognizes revenue when (or as) the Company satisfies a performance obligation by transferring a promised good or service to a customer. A good or service is transferred when (or as) the customer obtains control of that good or service.

The Company transfers control of a good or service over time and, therefore, satisfies a performance obligation and recognizes revenue over time, if one of the following criteria is met:

- a) the customer simultaneously receives and consumes the benefits provided by the company's performance as the Company performs;
- b) the Company's performance creates or enhances an asset that the customer controls as the asset is created or enhanced;
- c) the Company's performance does not create an asset with an alternative use to the Company and the Company has an enforceable right to payment for performance completed to date.

For each performance obligation satisfied over time, the Company recognizes revenue over time by measuring the progress towards complete satisfaction of that performance obligation.

The Company applies a single method of measuring progress for each performance obligation satisfied over time and the Company applies that method consistently to similar performance obligations and in similar circumstances. At the end of each reporting period, the Company re-measure its progress towards complete satisfaction of a performance obligation satisfied over time.

Company apply output methods to recognize revenue on the basis of direct measurements of the value to the customer of the goods or services transferred to date relative to the remaining goods or services promised under the contract. Output methods include methods such as surveys of performance completed to date, appraisals of results achieved, milestones reached, time elapsed and units produced or units delivered.

As circumstances change over time, the Company

update its measure of progress to reflect any changes in the outcome of the performance obligation. Such changes to the Company's measure of progress is accounted for as a change in accounting estimate in accordance with Ind AS 8, Accounting Policies, Changes in Accounting Estimates and Errors.

The Company recognizes revenue for a performance obligation satisfied over time only if the Company can reasonably measure its progress towards complete satisfaction of the performance obligation. When (or as) a performance obligation is satisfied, the company recognize as revenue the amount of the transaction price (which excludes estimates of variable consideration that are constrained that is allocated to that performance obligation).

If a performance obligation is not satisfied over time, the Company satisfies the performance obligation at a point in time. To determine the point in time at which a customer obtains control of a promised good or service and the Company satisfies a performance obligation, the Company consider indicators of the transfer of control, which include, but are not limited to, the following:

- a) the Company has a present right to payment for the good or service;
- b) the customer has legal title to the good or service;
- c) the Company has transferred physical possession of the good or service;
- d) the customer has the significant risks and rewards of ownership of the good or service;
- e) the customer has accepted the good or service.

When either party to a contract has performed, the Company present the contract in the balance sheet as a contract asset or a contract liability, depending on the relationship between the company's performance and the customer's payment. The Company present any unconditional rights to consideration separately as a receivable.

Contract assets

A contract asset is the right to consideration in exchange for goods or services transferred to the customer. If the Company performs by transferring goods or services to a customer before the customer pays consideration or before payment is due, a contract asset is recognized for the earned consideration that is conditional.

Trade receivables

A receivable represents the Company's right to an amount of consideration that is unconditional (i.e., only the passage of time is required before payment of the consideration is due).



Contract liabilities

A contract liability is the obligation to transfer goods or services to a customer for which the Company has received consideration (or an amount of consideration is due) from the customer. If a customer pays consideration before the Company transfers goods or services to the customer, a contract liability is recognized when the payment made or due (whichever is earlier). Contract liabilities are recognized as revenue when the Company performs under the contract.

2.4.2 Interest

Interest income is recognised using the Effective Interest Method.

2.4.3 Dividend

Dividend income from investments is recognised when the rights to receive payment is established.

2.4.4 Other Claims

Other claims (including interest on delayed realization from customers) are accounted for, when there is certainty of realisation and can be measured reliably.

2.4.5 Rendering of Services

When the outcome of a transaction involving the rendering of services can be estimated reliably, revenue associated with the transaction is recognised with reference to the stage of completion of the transaction at the end of the reporting period. The outcome of a transaction can be estimated reliably when all the following conditions are satisfied:

- the amount of revenue can be measured reliably;
- it is probable that the economic benefits associated with the transaction will flow to the Company;
- the stage of completion of the transaction at the end of the reporting period can be measured reliably; and
- the costs incurred for the transaction and the costs to complete the transaction can be measured reliably.

2.5 Grants from Government

Government Grants are not recognised until there is reasonable assurance that the company will comply with the conditions attached to them and that there is reasonable certainty that grants will be received.

Government grants are recognised in Statement of

Profit & Loss on a systematic basis over the periods in which the company recognises as expenses the related costs for which the grants are intended to compensate.

Government Grants related to assets are presented in the balance sheet by setting up the grant as deferred income and are recognised in Statement of Profit and Loss on systematic basis over the useful life of asset.

Grants related to income (i.e. grant related to other than assets) are presented as part of statement of profit and loss under the head 'Other Income'.

A government grant/assistance that becomes receivable as compensation for expenses or losses already incurred or for the purpose of giving immediate financial support to the Company with no future related costs, is recognised in profit or loss of the period in which it becomes receivable.

The Government grants or grants in the nature of promoter's contribution should be recognised directly in "Capital Reserve" which forms part of the "Shareholders fund".

2.6 Leases

A contract is, or contains, a lease if the contract conveys the right to control the use of an identified assets for a period of time in exchange for consideration.

2.6.1 Company as a lessee

At the commencement date, a lessee shall recognise a right-of-use asset at cost and a lease liability at the present value of the lease payments that are not paid at that date.

Subsequently, right-of-use asset is measured using cost model whereas, the lease liability is measured by increasing the carrying amount to reflect interest on the lease liability, reducing the carrying amount to reflect the lease payments made and remeasuring the carrying amount to reflect any reassessment or lease modifications.

2.6.2 Company as a lessor

All leases as either an operating lease or a finance lease.

A lease is classified as a finance lease if it transfers substantially all the risks and rewards incidental to ownership of an underlying asset. A lease is classified as an operating lease if it does not transfer substantially all the risks and rewards incidental to ownership of an underlying asset.

Operating leases- Lease payments from operating leases are recognised as income on either a straight- line basis unless another



systematic basis is more representative of the pattern in which benefit from the use of the underlying asset is diminished.

Finance leases- assets held under a finance lease is initially recognised in its balance sheet and present them as a receivable at an amount equal to the net investment in the lease using the interest rate implicit in the lease to measure the net investment in the lease.

Subsequently, finance income is recognised over the lease term, based on a pattern reflecting a constant periodic rate of return on the lessor's net investment in the lease."

2.7 Non-current assets held for sale

The Company classifies non-current assets and (or disposal groups) as held for sale if their carrying amounts will be recovered principally through a sale rather than through continuing use. Actions required to complete the sale should indicate that it is unlikely that significant changes to the sale will be made or that the decision to sell will be withdrawn. Management must be committed to the sale expected within one year from the date of classification.

For these purposes, sale transactions include exchanges of non-current assets for other non-current assets when the exchange has commercial substance. The criteria for held for sale classification is regarded met only when the assets or disposal group is available for immediate sale in its present condition, subject only to terms that are usual and customary for sales of such assets (or disposal groups), its sale is highly probable; and it will genuinely be sold, not abandoned. The Company treats sale of the asset or disposal group to be highly probable when:

- The appropriate level of management is committed to a plan to sell the asset (or disposal group),
- An active programme to locate a buyer and complete the plan has been initiated
- The asset (or disposal group) is being actively marketed for sale at a price that is reasonable in relation to its current fair value,
- The sale is expected to qualify for recognition as a completed sale within one year from the date of classification, and
- Actions required to complete the plan indicate that it is unlikely those significant changes to the plan will be made or that the plan will be withdrawn.

2.8 Property, Plant and Equipment (PPE)

Land is carried at historical cost. Historical cost includes expenditure which are directly attributable to the acquisition of the land like, rehabilitation expenses, resettlement cost and compensation in lieu of employment incurred for concerned displaced persons etc.

After recognition, an item of all other Property, plant and equipment are carried at its cost less any accumulated depreciation and any accumulated impairment losses under Cost Model. The cost of an item of property, plant and equipment comprises:

- (a) its purchase price, including import duties and non-refundable purchase taxes, after deducting trade discounts and rebates.
- (b) any costs directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management.
- (c) the initial estimate of the costs of dismantling and removing the item and restoring the site on which it is located, the obligation for which the Company incurs either when the item is acquired or as a consequence of having used the item during a particular period for purposes other than to produce inventories during that period.

Each part of an item of property, plant and equipment with a cost that is significant in relation to the total cost of the item depreciated separately. However, significant part(s) of an item of PPE having same useful life and depreciation method are grouped together in determining the depreciation charge.

Costs of the day to-day servicing described as for the 'repairs and maintenance' are recognised in the statement of profit and loss in the period in which the same are incurred.

Subsequent cost of replacing parts significant in relation to the total cost of an item of property, plant and equipment are recognised in the carrying amount of the item, if it is probable that future economic benefits associated with the item will flow to the Company; and the cost of the item can be measured reliably. The carrying amount of those parts that are replaced is derecognised in accordance with the de-recognition policy mentioned below.

When major inspection is performed, its cost is recognised in the carrying amount of the item of property, plant and equipment as a replacement if it is probable that future economic benefits associated with the item will flow to the Company; and the cost



of the item can be measured reliably. Any remaining carrying amount of the cost of the previous inspection (as distinct from physical parts) is derecognised.

An item of Property, plant or equipment is derecognised upon disposal or when no future economic benefits are expected from the continued use of assets. Any gain or loss arising on such de-recognition of an item of property plant and equipment is recognised in profit and Loss.

Depreciation on property, plant and equipment, except freehold land, is provided as per cost model on straight line basis over the estimated useful lives of the asset as follows:

Other Land (incl. Leasehold Land)	: Life of the project or lease term whichever is lower
Building	: 3-60 years
Roads	: 3-10 years
Telecommunication	: 3-9 years
Railway Sidings	: 15 years
Plant and Equipment	: 5-15 years
Computers and Laptops	: 3 Years
Office equipment	: 3-6 years
Furniture and Fixtures	: 10 years
Vehicles	: 8-10 years

Based on technical evaluation, the management believes that the useful lives given above best represents the period over which the management expects to use the asset. Hence the useful lives of the assets may be different from useful lives as prescribed under Part C of schedule II of companies act, 2013.

The estimated useful life of the assets is reviewed at the end of each financial year.

The residual value of Property, Plant and Equipment is considered as 5% of the original cost of the asset except some items of assets such as, Coal tub, winding ropes, haulage ropes, stowing pipes & safety lamps etc. for which the technically estimated useful life has been determined to be one year with nil residual value.

Depreciation on the assets added / disposed of during the year is provided on pro-rata basis with reference to the month of addition / disposal.

Value of "Other Land" includes land acquired under Coal Bearing Area (Acquisition & Development) (CBA) Act, 1957, Land Acquisition Act, 1894, Right to Fair Compensation and Transparency in Land Acquisition, Rehabilitation and Resettlement (RFCTLAAR) Act, 2013, Long term transfer of government land etc., which is amortised on the basis of the balance life of the project; and in case of Leasehold land such

amortisation is based on lease period or balance life of the project whichever is lower.

Fully depreciated assets, retired from active use are disclosed separately as surveyed off assets at its residual value under Property, Plant and Equipment and are tested for impairment.

Capital Expenses incurred by the company on construction/development of certain assets which are essential for production, supply of goods or for the access to any existing Assets of the company are recognised as Enabling Assets under Property, Plant and Equipment.

Transition to Ind AS

The company elected to continue with the carrying value as per cost model (for all of its property, plant and equipment as recognised in the financial statements as at the date of transition to Ind ASs, measured as per the previous GAAP.

2.9 Mine Closure, Site Restoration and Decommissioning Obligation

The company's obligation for land reclamation and decommissioning of structures consists of spending at both surface and underground mines in accordance with the guidelines from Ministry of Coal, Government of India. The company estimates its obligation for Mine Closure, Site Restoration and Decommissioning based upon detailed calculation and technical assessment of the amount and timing of the future cash spending to perform the required work. Mine Closure expenditure is provided as per approved Mine Closure Plan. The estimates of expenses are escalated for inflation, and then discounted at a discount rate that reflects current market assessment of the time value of money and the risks, such that the amount of provision reflects the present value of the expenditures expected to be required to settle the obligation. The company records a corresponding asset associated with the liability for final reclamation and mine closure. The obligation and corresponding assets are recognised in the period in which the liability is incurred. The asset representing the total site restoration cost (as estimated by Central Mine Planning and Design Institute Limited) as per mine closure plan is recognised as a separate item in PPE and amortised over the balance project/mine life.

The value of the provision is progressively increased over time as the effect of discounting unwinds; creating an expense recognised as financial expenses.

Further, a specific escrow fund account is maintained for this purpose as per the approved mine closure plan.

The progressive mine closure expenses incurred



on year to year basis forming part of the total mine closure obligation is initially recognised as receivable from escrow account and thereafter adjusted with the obligation in the year in which the amount is withdrawn after the concurrence of the certifying agency.

2.10 Exploration and Evaluation Assets

Exploration and evaluation assets comprise capitalised costs which are attributable to the search for coal and related resources, pending the determination of technical feasibility and the assessment of commercial viability of an identified resource which comprises inter alia the following:

- acquisition of rights to explore
- researching and analysing historical exploration data;
- gathering exploration data through topographical, geo chemical and geo physical studies;
- exploratory drilling, trenching and sampling;
- determining and examining the volume and grade of the resource;
- surveying transportation and infrastructure requirements;
- Conducting market and finance studies.

The above includes employee remuneration, cost of materials and fuel used, payments to contractors etc.

As the intangible component represents an insignificant/indistinguishable portion of the overall expected tangible costs to be incurred and recouped from future exploitation, these costs along with other capitalised exploration costs are recorded as exploration and evaluation asset.

Exploration and evaluation costs are capitalised on a project by project basis pending determination of technical feasibility and commercial viability of the project and disclosed as a separate line item under non-current assets. They are subsequently measured at cost less accumulated impairment/provision.

Once proved reserves are determined and development of mines/project is sanctioned, exploration and evaluation assets are transferred to "Development" under capital work in progress. However, if proved reserves are not determined, the exploration and evaluation asset is derecognised.

2.11 Development Expenditure

When proved reserves are determined and development of mines/project is sanctioned, capitalised exploration and evaluation cost is recognised as assets under construction and disclosed as a component of capital work in progress under the head "Development".

All subsequent development expenditure is also capitalised. The development expenditure capitalised is net of proceeds from the sale of coal extracted during the development phase.

Commercial Operation

The project/mines are brought to revenue; when commercial readiness of a project/mine to yield production on a sustainable basis is established either on the basis of conditions specifically stated in the project report or on the basis of the following criteria:

- (a) From beginning of the financial year immediately after the year in which the project achieves physical output of 25% of rated capacity as per approved project report, or
- (b) 2 years of touching of coal, or
- (c) From the beginning of the financial year in which the value of production is more than total, expenses.

Whichever event occurs first;

On being brought to revenue, the assets under capital work in progress are reclassified as a component of property, plant and equipment under the nomenclature "Other Mining Infrastructure". Other Mining Infrastructure are amortised from the year when the mine is brought under revenue in 20 years or working life of the project whichever is less.

2.12 Intangible Assets

Intangible assets acquired separately are measured on initial recognition at cost. The cost of intangible assets acquired in a business combination is their fair value at the date of acquisition. Following initial recognition, intangible assets are carried at cost less any accumulated amortisation (calculated on a straight-line basis over their useful lives) and accumulated impairment losses, if any.

Internally generated intangibles, excluding capitalised development costs, are not capitalised. Instead, the related expenditure is recognised in the statement of profit and loss and other comprehensive income in the period in which the expenditure is incurred. The useful lives of intangible assets are assessed as either finite or indefinite. Intangible assets with finite lives are amortised over their useful economic lives and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at the end of each reporting period. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are considered to modify the



amortisation period or method, as appropriate, and are treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is recognised in the statement of profit and loss.

An intangible asset with an indefinite useful life is not amortised but is tested for impairment at each reporting date.

Gains or losses arising from de-recognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the statement of profit and loss.

Exploration and Evaluation assets attributable to blocks identified for sale or proposed to be sold to outside agencies (i.e. for blocks not earmarked for CIL) are however, classified as Intangible Assets and tested for impairment.

Cost of Software recognized as intangible asset, is amortised on straight line method over a period of legal right to use or three years, whichever is less; with a nil residual value.

2.13 Impairment of Assets (other than financial assets)

The Company assesses at the end of each reporting period whether there is any indication that an asset may be impaired. If any such indication exists, the Company estimates the recoverable amount of the asset. An asset's recoverable amount is the higher of the asset's or cash-generating unit's value in use and its fair value less costs of disposal, and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets, in which case the recoverable amount is determined for the cash-generating unit to which the asset belongs. Company considers individual mines as separate cash generating units for the purpose of test of impairment. If the recoverable amount of an asset is estimated to be less than its carrying amount, the carrying amount of the asset is reduced to its recoverable amount and the impairment loss is recognised in the Statement of Profit and Loss.

2.14 Investment Property

Property (land or a building or part of a building or both) held to earn rentals or for capital appreciation or both, rather than for, use in the production or supply of goods or services or for administrative purposes; or sale in the ordinary course of businesses are classified as investment property.

Investment property is measured initially at its cost, including related transaction costs and where

applicable borrowing costs.

Investment properties are depreciated using the straight-line method over their estimated useful lives.

2.15 Financial Instruments

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

2.15.1 Financial assets

2.15.1 Initial recognition and measurement

All financial assets are recognised initially at fair value, in the case of financial assets not recorded at fair value through profit or loss, plus transaction costs that are attributable to the acquisition of the financial asset. Purchases or sales of financial assets that require delivery of assets within a time frame established by regulation or convention in the market place (regular way trades) are recognised on the trade date, i.e., the date that the Company commits to purchase or sell the asset.

2.15.2 Subsequent measurement

For purposes of subsequent measurement, financial assets are classified in four categories:

- Debt instruments at amortised cost
- Debt instruments at fair value through other comprehensive income (FVTOCI)
- Debt instruments, derivatives and equity instruments at fair value through profit or loss (FVTPL)
- Equity instruments measured at fair value through other comprehensive income (FVTOCI)

2.15.2.1 Debt instruments at amortised cost

A 'debt instrument' is measured at the amortised cost if both the following conditions are met:

- a) The asset is held within a business model whose objective is to hold assets for collecting contractual cash flows, and
- b) Contractual terms of the asset give rise on specified dates to cash flows that are solely payments of principal and interest (SPPI) on the principal amount outstanding.

After initial measurement, such financial assets are subsequently measured at amortised cost using the effective interest rate (EIR) method. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the



EIR. The EIR amortisation is included in finance income in the profit or loss. The losses arising from impairment are recognised in the profit or loss.

2.15.2.2 Debt instrument at FVTOCI

A 'debt instrument' is classified as at the FVTOCI if both of the following criteria are met:

- The objective of the business model is achieved both by collecting contractual cash flows and selling the financial assets, and
- The asset's contractual cash flows represent SPPI.

Debt instruments included within the FVTOCI category are measured initially as well as at each reporting date at fair value. Fair value movements are recognized in the other comprehensive income (OCI). However, the Company recognizes interest income, impairment losses & reversals and foreign exchange gain or loss in the P&L. On de-recognition of the asset, cumulative gain or loss previously recognised in OCI is reclassified from the equity to P&L. Interest earned whilst holding FVTOCI debt instrument is reported as interest income using the EIR method.

2.15.2.3 Debt instrument at FVTPL

FVTPL is a residual category for debt instruments. Any debt instrument, which does not meet the criteria for categorization as at amortized cost or as FVTOCI, is classified as at FVTPL.

In addition, the Company may elect to designate a debt instrument, which otherwise meets amortized cost or FVTOCI criteria, as at FVTPL. However, such election is allowed only if doing so reduces or eliminates a measurement or recognition inconsistency (referred to as 'accounting mismatch'). The Company has not designated any debt instrument as at FVTPL.

Debt instruments included within the FVTPL category are measured at fair value with all changes recognized in the P&L.

2.15.2.4 Equity investments in subsidiaries, associates and Joint Ventures

In accordance of Ind AS 101 (First time adoption of Ind AS), the carrying amount of these investments as per previous GAAP as on the date of transition is considered to be the deemed cost. Subsequently Investment in subsidiaries, associates and joint ventures are measured at cost.

In case of consolidated financial statement, Equity investments in associates and joint ventures are accounted as per equity method as prescribed in para 10 of Ind AS 28.

2.15.2.5 Other Equity Investment

All other equity investments in scope of Ind AS 109 are measured at fair value through profit or loss.

For all other equity instruments, the Company may make an irrevocable election to present in other comprehensive income subsequent changes in the fair value. The Company makes such election on an instrument by instrument basis. The classification is made on initial recognition and is irrevocable.

If the Company decides to classify an equity instrument as at FVTOCI, then all fair value changes on the instrument, excluding dividends, are recognized in the OCI. There is no recycling of the amounts from OCI to P&L even on sale of investment. However, the Company may transfer the cumulative gain or loss within equity.

Equity instruments included within the FVTPL category are measured at fair value with all changes recognized in the P&L

2.15.2.6 De-recognition

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is primarily derecognised (i.e. removed from the balance sheet) when:

- The rights to receive cash flows from the asset have expired, or
- The Company has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either (a) the Company has transferred substantially all the risks and rewards of the asset, or (b) the Company has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Company has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, it evaluates if and to what extent it has retained the risks and rewards of ownership. When it has neither transferred nor retained substantially all of the risks and rewards of the asset, nor transferred control of the asset, the Company continues to



recognise the transferred asset to the extent of the Company's continuing involvement. In that case, the Company also recognises an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Company has retained. Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Company could be required to repay.

2.15.2.7 Impairment of financial assets (other than fair value)

In accordance with Ind AS 109, the Company applies expected credit loss (ECL) model for measurement and recognition of impairment loss on the following financial assets and credit risk exposure:

- Financial assets that are debt instruments, and are measured at amortised cost e.g., loans, debt securities, deposits, trade receivables and bank balance
- Financial assets that are debt instruments and are measured as at FVTOCI
- Lease receivables under Ind AS 17
- Trade receivables or any contractual right to receive cash or another financial asset that result from transactions that are within the scope of Ind AS 11 and Ind AS 18

The Company follows 'simplified approach' for recognition of impairment loss allowance on:

- Trade receivables or contract revenue receivables; and
- All lease receivables resulting from transactions within the scope of Ind AS 17

The application of simplified approach does not require the Company to track changes in credit risk. Rather, it recognises impairment loss allowance based on lifetime ECLs at each reporting date, right from its initial recognition.

2.15.3 Financial liabilities

2.15.3.1 Initial recognition and measurement

The Company's financial liabilities include trade and other payables, loans and borrowings including bank overdrafts.

All financial liabilities are recognised initially at fair value and, in the case of loans and borrowings and payables, net of directly attributable transaction costs.

2.15.3.2 Subsequent measurement

The measurement of financial liabilities depends on their classification, as described below:

2.15.3.3 Financial liabilities at fair value through profit or loss

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss. Financial liabilities are classified as held for trading if they are incurred for the purpose of repurchasing in the near term. This category also includes derivative financial instruments entered into by the Company that are not designated as hedging instruments in hedge relationships as defined by Ind AS 109. Separated embedded derivatives are also classified as held for trading unless they are designated as effective hedging instruments.

Gains or losses on liabilities held for trading are recognised in the profit or loss.

Financial liabilities designated upon initial recognition at fair value through profit or loss are designated as such at the initial date of recognition, and only if the criteria in Ind AS 109 are satisfied. For liabilities designated as FVTPL, fair value gains/ losses attributable to changes in own credit risk are recognized in OCI. These gains/ loss are not subsequently transferred to P&L. However, the Company may transfer the cumulative gain or loss within equity. All other changes in fair value of such liability are recognised in the statement of profit and loss. The Company has not designated any financial liability as at fair value through profit and loss.

2.15.3.4 Financial liabilities at amortised cost

After initial recognition, these are subsequently measured at amortised cost using the effective interest rate method. Gains and losses are recognised in profit or loss when the liabilities are derecognised as well as through the effective interest rate amortisation process. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the effective interest rate. The effective interest rate amortisation is included as finance costs in the statement of profit and loss. This category generally applies to borrowings.

2.15.3.5 De-recognition

A financial liability is derecognised when the



obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the de-recognition of the original liability and the recognition of a new liability. The difference between the carrying amount of a financial liability (or part of a financial liability) extinguished or transferred to another party and the consideration paid, including any non-cash assets transferred or liabilities assumed, shall be recognised in profit or loss.

2.15.4 Reclassification of financial assets

The Company determines classification of financial assets and liabilities on initial recognition. After initial recognition, no reclassification is made for financial assets which are equity instruments and financial liabilities. For financial assets which are debt instruments, a reclassification is made only if there is a change in the business model for managing those assets. Changes to the business model are expected to be infrequent. The Company's senior management determines change in the business model as a result of external or internal changes which are significant to the Company's operations. Such changes are evident to external parties. A change in the business model occurs when the Company either begins or ceases to perform an activity that is significant to its operations. If Company reclassifies financial assets, it applies the reclassification prospectively from the reclassification date which is the first day of the immediately next reporting period following the change in business model. The Company does not restate any previously recognised gains, losses (including impairment gains or losses) or interest.

The following table shows various re-classifications and how they are accounted for

Original classification	Revised classification	Accounting treatment
Amortised cost	FVTPL	Fair value is measured at reclassification date. Difference between previous amortized cost and fair value is recognised in P&L.
FVTPL	Amortised Cost	Fair value at reclassification date becomes its new gross carrying amount. EIR is calculated based on the new gross carrying amount.

Amortised cost	FVTOCI	Fair value is measured at reclassification date. Difference between previous amortised cost and fair value is recognised in OCI. No change in EIR due to reclassification.
FVTOCI	Amortised cost	Fair value at reclassification date becomes its new amortised cost carrying amount. However, cumulative gain or loss in OCI is adjusted against fair value. Consequently, the asset is measured as if it had always been measured at amortised cost.
FVTPL	FVTOCI	Fair value at reclassification date becomes its new carrying amount. No other adjustment is required.
FVTOCI	FVTPL	Assets continue to be measured at fair value. Cumulative gain or loss previously recognized in OCI is reclassified to P&L at the reclassification date.

2.15.5 Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount is reported in the consolidated balance sheet if there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, to realise the assets and settle the liabilities simultaneously.

2.15.6 Cash & Cash Equivalents

Cash and cash equivalent in the balance sheet comprise cash at banks and on hand and short-term deposits with an original maturity of three months or less, which are subject to an insignificant risk of changes in value. For the purpose of the consolidated statement of cash flows, cash and cash equivalents consist of cash and short-term deposits, as defined above, net of outstanding bank overdrafts as they are considered an integral part of the company's cash management.

2.16. Borrowing Costs

Borrowing costs are expensed as and when incurred except where they are directly attributable to the acquisition, construction or production of qualifying assets i.e. the assets that necessarily takes substantial period of time to get ready for its intended use, in which case they are capitalised as part of the cost of those asset up to the date when the qualifying asset is ready for its intended use.



2.17 Taxation

Income tax expense represents the sum of the tax currently payable and deferred tax.

Current tax is the amount of income taxes payable (recoverable) in respect of the taxable profit (tax loss) for a period. Taxable profit differs from “profit before income tax” as reported in the statement of profit and loss and other comprehensive income because it excludes items of income or expense that are taxable or deductible in other years and it further excludes items that are never taxable or deductible. The company’s liability for current tax is calculated using tax rates that have been enacted or substantively enacted by the end of the reporting period.

Deferred tax liabilities are generally recognised for all taxable temporary differences. Deferred tax assets are generally recognised for all deductible temporary difference to the extent that it is probable that taxable profits will be available against which those deductible temporary differences can be utilised. Such assets and liabilities are not recognised if the temporary difference arises from goodwill or from the initial recognition (other than in a business combination) of other assets and liabilities in a transaction that affects neither the taxable profit nor the accounting profit.

Deferred tax liabilities are recognised for taxable temporary differences associated with investments in subsidiaries and associates, except where the company is able to control the reversal of the temporary difference and it is probable that the temporary difference will not reverse in the foreseeable future. Deferred tax assets arising from deductible temporary differences associated with such investments and interests are only recognised to the extent that it is probable that there will be sufficient taxable profits against which to utilise the benefits of the temporary differences.

The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered. Unrecognised deferred tax assets are reassessed at the end of each reporting year and are recognised to the extent that it has become probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the period in which the liability is settled or the asset is realised, based on tax rate (and tax laws) that have been enacted or substantively enacted by the end of the

reporting period.

The measurement of deferred tax liabilities and assets reflects the tax consequences that would follow from the manner in which the company expects, at the end of the reporting period, to recover or settle the carrying amount of its assets and liabilities.

Current and deferred tax are recognised in profit or loss, except when they relate to items that are recognised in other comprehensive income or directly in equity, in which case, the current and deferred tax are also recognised in other comprehensive income or directly in equity respectively. Where current tax or deferred tax arises from the initial accounting for a business combination, the tax effect is included in the accounting for the business combination.

2.18 Employee Benefits

2.18.1 Short-term Benefits

All short term employee benefits are recognized in the period in which they are incurred.

2.18.2 Post-employment benefits and other long term employee benefits

2.18.2.1 Defined contributions plans

A defined contribution plan is a post-employment benefit plan for Provident fund and Pension under which the company pays fixed contribution into fund maintained by a separate statutory body (Coal Mines Provident Fund) constituted under an enactment of law and the company will have no legal or constructive obligation to pay further amounts. Obligations for contributions to defined contribution plans are recognised as an employee benefit expense in the statement of profit and loss in the periods during which services are rendered by employees.

2.18.2.2 Defined benefits plans

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. Gratuity, leave encashment are defined benefit plans (with ceilings on benefits). The company’s net obligation in respect of defined benefit plans is calculated by estimating the amount of future benefit that employees have earned in return of their service in the current and prior periods. The benefit is discounted to determine its present value and reduced by the fair value of plan assets, if any. The discount rate is based on the prevailing market yields of Indian Government securities as at the reporting date that have maturity dates approximating the



terms of the company's obligations and that are denominated in the same currency in which the benefits are expected to be paid.

The application of actuarial valuation involves making assumptions about discount rate, expected rates of return on assets, future salary increases, mortality rates etc. Due to the long term nature of these plans, such estimates are subject to uncertainties. The calculation is performed at each balance sheet by an actuary using the projected unit credit method. When the calculation results in to the benefit to the company, the recognised asset is limited to the present value of the economic benefits available in the form of any future refunds from the plan or reduction in future contributions to the plan. An economic benefit is available to the company if it is realisable during the life of the plan, or on settlement of plan liabilities.

Re-measurement of the net defined benefit liability, which comprise actuarial gain and losses considering the return on plan assets (excluding interest) and the effects of the assets ceiling (if any, excluding interest) are recognised immediately in the other comprehensive income. The company determines the net interest expense (income) on the net defined benefit liability (asset) for the period by applying the discount rate used to measure the defined benefit obligation at the beginning of the annual period to the then net defined benefit liability (asset), taking into account any changes in the net defined benefit liability (asset) during the period as a result of contributions and benefit payments. Net interest expense and other expenses related to defined benefit plans are recognised in profit and loss.

When the benefits of the plan are improved, the portion of the increased benefit relating to past service by employees is recognised as expense immediately in the statement of profit and loss.

2.18.3 Other Employee Benefits

Certain other employee benefits namely benefit on account of LTA, LTC, Life Cover scheme, Group personal Accident insurance scheme, settlement allowance, post-retirement medical benefit scheme and compensation to dependents of deceased in mine accidents etc., are also recognised on the same basis as described above for defined benefits plan. These benefits do not have specific funding.

2.19 Foreign Currency

The company's reported currency and the functional

currency for majority of its operations is in Indian Rupees (INR) being the principal currency of the economic environment in which it operates.

Transactions in foreign currencies are converted into the reported currency of the company using the exchange rate prevailing at the transaction date. Monetary assets and liabilities denominated in foreign currencies outstanding at the end of the reporting period are translated at the exchange rates prevailing as at the end of reporting period. Exchange differences arising on the settlement of monetary assets and liabilities or on translating monetary assets and liabilities at rates different from those at which they were translated on initial recognition during the period or in previous financial statements are recognised in statement of profit and loss in the period in which they arise.

Non-monetary items denominated in foreign currency are valued at the exchange rates prevailing on the date of transactions.

2.20 Stripping Activity Expense/Adjustment

In case of opencast mining, the mine waste materials ("overburden") which consists of soil and rock on the top of coal seam is required to be removed to get access to the coal and its extraction. This waste removal activity is known as 'Stripping'. In opencast mines, the company has to incur such expenses over the life of the mine (as technically estimated).

Therefore, as a policy, in the mines with rated capacity of one million tonnes per annum and above, cost of Stripping is charged on technically evaluated average stripping ratio (OB: COAL) at each mine with due adjustment for stripping activity asset and ratio-variance account after the mines are brought to revenue.

Net of balances of stripping activity asset and ratio variance at the Balance Sheet date is shown as Stripping Activity Adjustment under the head Non - Current Provisions / Other Non-Current Assets as the case may be.

The reported quantity of overburden as per record is considered in calculating the ratio for OBR accounting where the variance between reported quantity and measured quantity is within the permissible limits, as detailed hereunder:-

Annual Quantum of OBR Of the Mine	Permissible limits of variance %
Less than 1 Mill. CUM	+/- 5%
Between 1 and 5 Mill. CUM	+/- 3%
More than 5 Mill. CUM	+/- 2%



However, where the variance is beyond the permissible limits as above, the measured quantity is considered.

In case of mines with rated capacity of less than one million tonne, the above policy is not applied and actual cost of stripping activity incurred during the year is recognised in Statement of Profit and Loss.

2.21 Inventories

2.21.1 Stock of Coal

Inventories of coal/coke are stated at lower of cost and net realisable value. Cost of inventories are calculated using the Weighted Average method. Net realisable value represents the estimated selling price of inventories less all estimated costs of completion and costs necessary to make the sale.

Book stock of coal is considered in the accounts where the variance between book stock and measured stock is upto +/- 5% and in cases where the variance is beyond +/- 5% the measured stock is considered. Such stock are valued at net realisable value or cost whichever is lower. Coke is considered as a part of stock of coal.

Coal & coke-fines are valued at lower of cost or net realisable value and considered as a part of stock of coal.

Slurry (coking/semi-coking), middling of washeries and by products are valued at net realisable value and considered as a part of stock of coal.

2.21.2 Stores & Spares

The Stock of stores & spare parts (which also includes loose tools) at central & area stores are considered as per balances appearing in priced stores ledger and are valued at cost calculated on the basis of weighted average method. The inventory of stores & spare parts lying at collieries / sub-stores / drilling camps/ consuming centres are considered at the yearend only as per physically verified stores and are valued at cost.

Provisions are made at the rate of 100% for unserviceable, damaged and obsolete stores and spares and at the rate of 50% for stores & spares not moved for 5 years.

2.21.3 Other Inventories

Workshop jobs including work-in-progress are valued at cost. Stock of press jobs (including work in progress) and stationary at printing press and medicines at central hospital are valued at cost.

However, Stock of stationery (other than lying at printing press), bricks, sand, medicine (except at Central Hospitals), aircraft spares and scraps are not considered in inventory considering their value not being significant.

2.22 Provisions, Contingent Liabilities & Contingent Assets

Provisions are recognized when the company has a present obligation (legal or constructive) as a result of a past event, and it is probable that an outflow of economic benefits will be required to settle the obligation and a reliable estimate of the amount of the obligation can be made. Where the time value of money is material, provisions are stated at the present value of the expenditure expected to settle the obligation.

All provisions are reviewed at each balance sheet date and adjusted to reflect the current best estimate.

Where it is not probable that an outflow of economic benefits will be required, or the amount cannot be estimated reliably, the obligation is disclosed as a contingent liability, unless the probability of outflow of economic benefits is remote. Possible obligations, whose existence will only be confirmed by the occurrence or non-occurrence of one or more future uncertain events not wholly within the control of the company, are also disclosed as contingent liabilities unless the probability of outflow of economic benefits is remote.

Contingent Assets are not recognised in the financial statements. However, when the realisation of income is virtually certain, then the related asset is not a contingent asset and its recognition is appropriate.

2.23 Earnings per share

Basic earnings per share are computed by dividing the net profit after tax by the weighted average number of equity shares outstanding during the period. Diluted earnings per shares is computed by dividing the profit after tax by the weighted average number of equity shares considered for deriving basic earnings per shares and also the weighted average number of equity shares that could have been issued upon conversion of all dilutive potential equity shares.

2.24 Judgements, Estimates and Assumptions

The preparation of the financial statements in conformity with Ind AS requires management to make estimates, judgements and assumptions that affect the application of accounting policies and the reported amounts of assets and liabilities, the disclosures of contingent assets and liabilities at the date of financial statements and the amount of revenue and



expenses during the reported period. Application of accounting policies involving complex and subjective judgements and the use of assumptions in these financial statements has been disclosed. Accounting estimates could change from period to period. Actual results could differ from those estimates. Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimate are recognised in the period in which the estimates are revised and, if material, their effects are disclosed in the notes to the financial statements.

2.24.1 Judgements

In the process of applying the Company's accounting policies, management has made the following judgements, which have the most significant effect on the amounts recognised in the financial statements:

2.24.1.1 Formulation of Accounting Policies

Accounting policies are formulated in a manner that result in financial statements containing relevant and reliable information about the transactions, other events and conditions to which they apply. Those policies need not be applied when the effect of applying them is immaterial.

In the absence of an Ind AS that specifically applies to a transaction, other event or condition, management has used its judgement in developing and applying an accounting policy that results in information that is:

- a) relevant to the economic decision-making needs of users and
- b) reliable in that financial statements:
 - (i) represent faithfully the financial position, financial performance and cash flows of the Company;
 - (ii) reflect the economic substance of transactions, other events and conditions, and not merely the legal form;
 - (iii) are neutral, i.e. free from bias;
 - (iv) are prudent; and
 - (v) are complete in all material respects on a consistent basis

In making the judgment management refers to, and considers the applicability of, the following sources in descending order:

- (a) the requirements in Ind ASs dealing with similar and related issues; and
- (b) the definitions, recognition criteria and measurement concepts for assets, liabilities,

income and expenses in the Framework.

In making the judgment, management considers the most recent pronouncements of International Accounting Standards Board and in absence thereof those of the other standard-setting bodies that use a similar conceptual framework to develop accounting standards, other accounting literature and accepted industry practices, to the extent that these do not conflict with the sources in above paragraph.

The Company operates in the mining sector (a sector where the exploration, evaluation, development production phases are based on the varied topographical and geo-mining terrain spread over the lease period running over decades and prone to constant changes), the accounting policies whereof have evolved based on specific industry practices supported by research committees and approved by the various regulators owing to its consistent application over the last several decades. In the absence of specific accounting literature, guidance and standards in certain specific areas which are in the process of evolution. The Company continues to strive to develop accounting policies in line with the development of accounting literature and any development therein shall be accounted for prospectively as per the procedure laid down above more particularly in Ind AS 8.

The financial statements are prepared on going concern basis using accrual basis of accounting.

2.24.1.2 Materiality

Ind AS applies to items which are material. Management uses judgement in deciding whether individual items or groups of item are material in the financial statements. Materiality is judged by reference to nature or magnitude or both of the item. The deciding factor is whether omitting or misstating or obscuring an information could individually or in combination with other information influence decisions that users make on the basis of the financial statements. Management also uses judgement of materiality for determining the compliance requirement of the Ind AS. Further the Company may also be required to present separately immaterial items when required by law.

W.e.f 01.04.2019 Errors/omissions discovered in the current year relating to prior periods are treated as immaterial and adjusted during the current year, if all such errors and omissions in aggregate does not exceed 1% of total revenue



from operations (net of statutory levies) as per the last audited financial statement of the Company.

2.24.1.3 Operating Lease

Company has entered into lease agreements. The Company has determined, based on an evaluation of the terms and conditions of the arrangements, such as the lease term not constituting a major part of the economic life of the commercial property and the fair value of the asset, that it retains all the significant risks and rewards of ownership of these properties and accounts for the contracts as operating leases.

2.24.2 Estimates and Assumptions

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are described below. The Company based its assumptions and estimates on parameters available when the consolidated financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising that are beyond the control of the Company. Such changes are reflected in the assumptions when they occur.

2.24.2.1 Impairment of Non-financial Assets

There is an indication of impairment if, the carrying value of an asset or cash generating unit exceeds its recoverable amount, which is the higher of its fair value less costs of disposal and its value in use. Company considers individual mines as separate cash generating units for the purpose of test of impairment. The value in use calculation is based on a DCF model. The cash flows are derived from the budget for the next five years and do not include restructuring activities that the Company is not yet committed to or significant future investments that will enhance the asset's performance of the CGU being tested. The recoverable amount is sensitive to the discount rate used for the DCF model as well as the expected future cash-inflows and the growth rate used for extrapolation purposes. These estimates are most relevant to other mining infrastructures. The key assumptions used to determine the recoverable amount for the different CGUs, are disclosed and further explained in respective notes.

2.24.2.2 Taxes

Deferred tax assets are recognised for unused tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Significant management judgement is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and the level of future taxable profits together with future tax planning strategies.

2.24.2.3 Defined benefit plans

The cost of the defined benefit gratuity plan and other post-employment medical benefits and the present value of the gratuity obligation are determined using actuarial valuations. An actuarial valuation involves making various assumptions that may differ from actual developments in the future. These include the determination of the discount rate, future salary increases and mortality rates.

Due to the complexities involved in the valuation and its long-term nature, a defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date. The parameter most subject to change is the discount rate. In determining the appropriate discount rate for plans operated in India, the management considers the interest rates of government bonds in currencies consistent with the currencies of the post-employment benefit obligation.

The mortality rate is based on publicly available mortality tables of the country. Those mortality tables tend to change only at interval in response to demographic changes. Future salary increases and gratuity increases are based on expected future inflation rate.

2.24.2.4 Fair value measurement of financial instruments

When the fair values of financial assets and financial liabilities recorded in the balance sheet cannot be measured based on quoted prices in active markets, their fair value is measured using generally accepted valuation techniques including the DCF model. The inputs to these models are taken from observable markets where possible, but where this is not feasible, a degree of judgement is required in establishing fair values. Judgements include considerations of inputs such as liquidity risk, credit risk, volatility and other relevant input /considerations.



Changes in assumptions and estimates about these factors could affect the reported fair value of financial instruments.

2.24.2.5 Intangible asset under development

The Company capitalises intangible asset under development for a project in accordance with the accounting policy. Initial capitalisation of costs is based on management's judgement that technological and economic feasibility is confirmed, usually when a project report is formulated and approved.

2.24.2.6 Provision for Mine Closure, Site Restoration and Decommissioning Obligation

In determining the fair value of the provision for Mine Closure, Site Restoration and Decommissioning Obligation, assumptions and estimates are made in relation to discount rates, the expected cost of site restoration and dismantling and the expected timing of those costs. The Company estimates provision using the DCF method considering life of the project/ mine based on

- Estimated cost per hectare as specified in guidelines issued by Ministry of Coal, Government of India

- The discount rate (pre tax rate) that reflect current market assessments of the time value of money and the risks specific to the liability.

2.25 Abbreviation used:

a.	CGU	Cash generating unit	g.	OCI	Other Comprehensive Income
b.	DCF	Discounted Cash Flow	h.	P&L	Profit and Loss
c.	FVTOCI	Fair value through Other Comprehensive Income	i.	PPE	Property, Plant and Equipment
d.	FVTPL	Fair value through Profit & Loss	j.	SPPI	Solely Payment of Principal and Interest
e.	GAAP	Generally accepted accounting principles	k.	EIR	Effective Interest Rate
f.	Ind AS	Indian Accounting Standards			

NOTE 3 : PROPERTY, PLANT AND EQUIPMENTS

Particulars	Freehold Land	Other Land	Land Reclamation/ Site Restoration Costs	Building (including water supply, roads and culverts)	Plant and Equipments	Telecom- munication	Railway Sidings	Rail Line/ Rail Corridor	Furniture and Fixtures	Office Equip- ments	Vehicles	Aircraft	Other Mining Infrastruc- tures	Surveyed off Assets	Total
Carrying Amount:															
As at 1st April, 2019	17.49	761.45	472.63	295.75	1,778.39	3.61	225.24	–	15.08	49.64	12.40	–	263.45	65.22	3,960.35
Additions	–	79.91	–	13.93	114.26	0.85	157.59	2,268.03	1.59	16.87	0.06	–	44.48	9.86	2,707.43
Deletions/Adjustments	–	(27.19)	–	0.37	(89.18)	–	26.45	–	(0.01)	(3.14)	(0.01)	–	(0.37)	(6.02)	(99.10)
As at 31st March, 2020	17.49	814.17	472.63	310.05	1,803.47	4.46	409.28	2,268.03	16.66	63.37	12.45	–	307.56	69.06	6,568.68
As at 1st April, 2020	17.49	814.17	472.63	310.05	1,803.47	4.46	409.28	2,268.03	16.66	63.37	12.45	–	307.56	69.06	6,568.68
Additions	–	855.72	–	14.26	114.15	1.28	78.23	304.26	1.09	7.17	3.70	–	51.70	14.64	1,446.20
Deletions/Adjustments	–	–	(0.14)	(4.14)	(168.62)	–	–	–	–	(0.69)	0.01	–	–	(3.12)	(176.70)
As at 31st March, 2021	17.49	1,669.89	472.49	320.17	1,749.00	5.74	487.51	2,572.29	17.75	69.85	16.16	–	359.26	80.58	7,838.18
Accumulated Depreciation and Impairment															
As at 1st April, 2019	–	182.90	168.43	42.74	867.04	0.98	31.91	–	6.34	23.94	5.40	–	109.93	24.65	1,464.26
Charge for the year	–	57.65	34.76	13.04	167.02	0.42	30.76	113.40	1.25	8.93	1.42	–	26.22	–	454.87
Impairment	–	–	–	–	–	–	–	–	–	–	–	–	21.40	12.75	34.15
Deletions/Adjustments	–	(1.56)	–	0.33	(58.54)	(0.03)	3.11	–	(0.46)	(2.45)	–	–	4.86	–	(54.74)
As at 31st March, 2020	–	238.99	203.19	56.11	975.52	1.37	65.78	113.40	7.13	30.42	6.82	–	162.41	37.40	1,898.54
As at 1st April, 2020	–	238.99	203.19	56.11	975.52	1.37	65.78	113.40	7.13	30.42	6.82	–	162.41	37.40	1,898.54
Charge for the year	–	107.37	37.46	13.90	150.68	0.50	30.04	153.01	1.80	10.86	1.22	–	37.77	–	544.61
Impairment	–	–	–	–	–	–	–	–	–	–	–	–	6.25	(2.41)	3.84
Deletions/Adjustments	–	–	–	–	(142.88)	–	0.78	–	(0.14)	(0.58)	0.06	–	1.92	–	(140.84)
As at 31st March, 2021	–	346.36	240.65	70.01	983.32	1.87	96.60	266.41	8.79	40.70	8.10	–	208.35	34.99	2,306.15
Net Carrying Amount															
As at 31st March, 2021	17.49	1,323.53	231.84	250.16	765.68	3.87	390.91	2,305.88	8.96	29.15	8.06	–	150.91	45.59	5,532.03
As at 31st March, 2020	17.49	575.18	269.44	253.94	827.95	3.09	343.50	2,154.63	9.53	32.95	5.63	–	145.15	31.66	4,670.14

1. In pursuance of compliance of IND AS, Gross value less accumulated depreciation as on 01.04.2015 was considered as carrying value on transition date.



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Particulars	Free-hold Land	Other Land	Land Reclamation/ Site Restoration Costs	Building (including water supply, roads and culverts)	Plant and Equip-ments	Tele-com-muni-cation	Railway Sidings	Rail Line/ Rail Corridor	Furniture and Fixtures	Office Equip-ments	Vehi-cles	Aircraft	Other Mining In-frastruc-tures	Surveyed off Assets	Total
Gross Carrying Amount:															
As at 1st April, 2015	16.87	630.42	656.05	437.66	3,335.00	16.90	88.08	–	20.77	50.16	32.79	–	759.19	71.73	6,115.62
Accumulated Depreciation and Impairment															
As at 1st April, 2015	–	372.29	176.30	270.57	2,239.44	15.24	73.22	–	15.18	36.96	26.36	–	652.32	–	3,877.88
Net carrying Amount	16.87	258.13	479.75	167.09	1,095.56	1.66	14.86	–	5.59	13.20	6.43	–	106.87	71.73	2,237.74

- Other Land includes Land acquired under Coal Bearing Areas (Acquisition and Development) Act, 1957, Land Acquisition Act, 1984 and other Acts.
- Depreciation is provided based on estimated useful life, reviewed at the end of each year by the empowered committee as referred in Significant Accounting Policy para no. 2.8. There is no significant component having different useful life of value, hence component accounting has not been considered.
- Impairment has been withdrawn in respect of Surveyed off Assets amounting to Rs. 2.41 Cr. (P.Y. Rs.12.75 Cr. Provided).
- In terms of lease agreements, the company has granted to its customers, a right to occupy and use of certain assets of the company having gross value of Rs. 88.09 Cr. and wdv of Rs. 2.50 Cr.
- Total Depreciation amounting to Rs.542.80 Cr. includes amortisation of Rs.37.77 Cr. related to other Mining Infrastructures and Rs.37.46 Cr. to Land Reclamation/ Site Restoration Costs.
- CIL Board in its 485th Board meeting approved the revised project cost of Rs. 2692.61 Cr. in respect of Tori Shivpur Rail line project for facilitating evacuation of coal against which Rs. 2729.35 Cr. has been deposited with East Central Railway. EC Railway has spent Rs. 2572.29 Cr. which has been recognised as Rail Line/ Rail Corridor and the balance amount of Rs. 157.04 Cr. has been shown as Capital Advance in Note 10. The Company has received a grant of Rs. 605.05 Cr. till date from CCDAC against the said project.
- Land Compensation amounting to Rs. 778.62 Cr. has been shown as addition to other Land which is under reconciliation (refer note-20 and Para 7.18 of Note-38 to the Financial Statement).



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS AS AT 31ST MARCH, 2021

NOTE 4 : CAPITAL WIP

(Rs. in Crores)

Particulars	Building (including water supply, roads and culverts)	Plant and Equipments	Railway Sidings	Development	Others	Total
Carrying Amount:						
As at 1st April, 2019	204.16	35.21	2,094.16	204.01	—	2,537.54
Additions	33.04	26.42	107.79	136.33	—	303.58
Capitalisation/ Deletions	(8.68)	(25.41)	(1,855.64)	(23.57)	—	(1,913.30)
As at 31st March, 2020	228.52	36.22	346.31	316.77	—	927.82
As at 1st April, 2020	228.52	36.22	346.31	316.77	—	927.82
Additions	28.44	22.01	179.25	62.33	—	292.03
Capitalisation/ Deletions	(6.65)	(9.34)	(0.39)	(27.83)	—	(44.21)
As at 31st March, 2021	250.31	48.89	525.17	351.27	—	1,175.64
Accumulated Provision and Impairment						
As at 1st April, 2019	1.25	1.94	0.12	15.20	—	18.51
Charge for the year	0.03	0.08	0.12	1.23	—	1.46
Impairment	—	—	—	—	—	—
Deletions/Adjustments	(0.69)	(0.55)	—	(4.87)	—	(6.11)
As at 31st March, 2020	0.59	1.47	0.24	11.56	—	13.86
As at 1st April, 2020	0.59	1.47	0.24	11.56	—	13.86
Charge for the year	0.04	0.07	(0.24)	0.80	—	0.67
Impairment	—	—	—	2.81	—	2.81
Deletions/Adjustments	—	(0.08)	—	(1.72)	—	(1.80)
As at 31st March, 2021	0.63	1.46	—	13.45	—	15.54
Net Carrying Amount						
As at 31st March, 2021	249.68	47.43	525.17	337.82	—	1,160.10
As at 31st March, 2020	227.93	34.75	346.07	305.21	—	913.96

1. In pursuance of compliance of IND AS, Gross value less accumulated depreciation as on 01.04.2015 was considered as carrying value on transition date.

Particulars	Building (including water supply, roads and culverts)	Plant and Equipments	Railway Sidings	Development	Others	Total
Gross Carrying Amount:						
As at 1st April, 2015	62.53	132.02	136.74	188.12	—	519.41
Accumulated Provision and Impairment						
As at 1st April, 2015	10.52	12.29	45.74	36.84	—	105.39
Net Carrying Amount	52.01	119.73	91.00	151.28	—	414.02

2. In case of machinery/assets, which could not be put to use for more than three years from the date of purchase/ acquisition, provision equivalent to depreciation w.e.f. the fourth year has been made during the year amounting to Rs. 0.67 Cr. (previous year Rs. 1.46 Cr.) shown under note 33 of the financial statements.



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS AS AT 31ST MARCH, 2021

NOTE 5 : EXPLORATION AND EVALUATION ASSETS

(Rs. in Crores)

Particulars	Exploration and Evaluation Costs
Carrying Amount:	
As at 1st April, 2019	406.10
Additions	43.02
Deletions/Adjustments	—
As at 31st March, 2020	449.12
As at 1st April, 2020	449.12
Additions	51.78
Deletions/Adjustments	—
As at 31st March, 2021	500.90
Accumulated Provision and Impairment	
As at 1st April, 2019	0.67
Charge for the year	—
Impairment	—
Deletions/Adjustments	—
As at 31st March, 2020	0.67
As at 1st April, 2020	0.67
Charge for the year	—
Impairment	0.44
Deletions/Adjustments	—
As at 31st March, 2021	1.11
Net Carrying Amount	
As at 31st March, 2021	499.79
As at 31st March, 2020	448.45
In pursuance of compliance of IND AS, Gross value less accumulated depreciation as on 01.04.2015 was considered as carrying value on transition date.	
Gross Carrying Amount:	
As at 1st April, 2015	176.04
Accumulated Provision and Impairment	
As at 1st April, 2015	2.21
Net Carrying Amount	173.83



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS AS AT 31ST MARCH, 2021

NOTE 6 : OTHER INTANGIBLE ASSETS

(Rs. in Crores)

Particulars	Computer Software	Coal Blocks meant for Sale	Others	Total
Carrying Amount				
As at 1st April, 2019	9.41	1.71	—	11.12
Additions	0.01	—	—	0.01
Deletions/Adjustments	—	—	—	—
As at 31st March, 2020	9.42	1.71	—	11.13
As at 1st April, 2020	9.42	1.71	—	11.13
Additions	2.88	5.57	—	8.45
Deletions/Adjustments	—	—	—	—
As at 31st March, 2021	12.30	7.28	—	19.58
Accumulated Provision and Impairment				
As at 1st April, 2019	5.38	—	—	5.38
Charge for the year	1.38	—	—	1.38
Impairment	—	—	—	—
Deletions/Adjustments	—	—	—	—
As at 31st March, 2020	6.76	—	—	6.76
As at 1st April, 2020	6.76	—	—	6.76
Charge for the year	1.89	—	—	1.89
Impairment	—	—	—	—
Deletions/Adjustments	—	—	—	—
As at 31st March, 2021	8.65	—	—	8.65
Net Carrying Amount				
As at 31st March, 2021	3.65	7.28	—	10.93
As at 31st March, 2020	2.66	1.71	—	4.37

- Coal blocks meant for sale represents expenses incurred towards initial development on mines to be recovered on disposal of such blocks by the authority.
- In pursuance of compliance of IND AS, Gross value less accumulated depreciation as on 01.04.2015 was considered as carrying value on transition date.

Gross Carrying Amount :

As at 1st April, 2015	4.74	1.71	—	6.45
Accumulated Provision and Impairment				
As at 1st April, 2015	—	—	—	—
Net Carrying Amount	4.74	1.71	—	6.45



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NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS AS AT 31ST MARCH, 2021

NOTE 7 : INVESTMENTS

(Rs. in Crores)

	No. Shares Held	As at 31.03.2021	As at 31.03.2020
Non Current			
Investment in Shares			
Equity Shares in Subsidiary Company		—	—
Other Investments			
Share Application Money		—	—
In Secured Bonds		—	—
In Co-operative Shares		—	—
Total		—	—
Aggregate amount of quoted investments :		—	—
Market value of quoted investments :		—	—
Aggregate amount of unquoted investments :		—	—
Aggregate amount of impairment in value of investments :		—	—

(Rs. in Crores)

	Number of Units Current Year/ (Previous Year)	NAV/Face Value per unit (In `)	As at 31.03.2021	As at 31.03.2020
Current				
Mutual Fund Investment				
UTI Mutual Fund	-/ 2265.864	1019.4457	—	0.23
SBI Mutual Fund	-/ 2459.477	1014.9600	—	0.25
Canara Robeco Mutual Fund Union			—	—
KBC Mutual Fund			—	—
BOI AXA Mutual Fund			—	—
Other Investments				
8.5% Tax Free Special Bonds (Fully Paid Up)			—	—
(On Securitisation of Trade Receivables)			—	—
Major State Wise Break Up				
— UP			—	—
— Haryana			—	—
Total			—	0.48
Aggregate of Quoted Investment :			—	—
Market value of Quoted Investment :			—	—
Aggregate of unquoted investments :			—	0.48
Aggregate amount of impairment in value of investments :			—	—

Details of Mutual Fund purchased and redeemed during the Year:

(Rs. in Crores)

PARTICULARS	TOTAL PURCHASED DURING THE YEAR		REDEMPTION DURING THE YEAR		DIVIDEND RECEIVED	
	No. of Units	Amount	No. of Units	Amount	No. of Units	Amount
UTI MUTUAL FUND	—	—	2,319.781	0.23	53.917	—
TOTAL	—	—	2,319.781	0.23	53.917	—

The company invests in liquid scheme (daily dividend) of the above mutual funds. In the daily dividend scheme, dividends are received on daily basis in the form of units of mutual fund and the value of the NAV of the scheme remain constant.





NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS AS AT 31ST MARCH, 2021

NOTE 8 : LOANS

(Rs. in Crores)

	As at 31.03.2021	As at 31.03.2020
Non-Current		
Loans to Employees*		
— Secured, considered good	0.49	0.55
— Unsecured, considered good	—	—
— Have significant increase in credit risk	—	—
— Credit impaired	—	—
	0.49	0.55
Less: Allowance for doubtful loans	—	—
	0.49	0.55
CLASSIFICATION		
Secured, considered good	0.49	0.55
Unsecured, Considered good	—	—
Have significant increase in Credit risk	—	—
Credit impaired	—	—
Current		
Loans to Employees		
— Secured, considered good	—	—
— Unsecured, considered good	—	—
— Credit impaired	—	—
Less: Allowance for doubtful loans	—	—
	—	—
CLASSIFICATION		
Secured, considered good	—	—
Unsecured, Considered good	—	—
Have significant increase in credit risk	—	—
Credit impaired	—	—

* Loans to Employees are secured against terms of Service.



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS AS AT 31ST MARCH, 2021

NOTE 9 : OTHER FINANCIAL ASSETS

(Rs. in Crores)

	As at 31.03.2021	As at 31.03.2021
Non Current		
Bank Deposits	—	—
Deposits with bank under Shifting & Rehabilitation Fund scheme	—	—
Deposits with bank under Mine Closure Plan	1,250.53	1,285.68
Other Deposit and Receivables	—	—
TOTAL	1,250.53	1,285.68
Current		
Current Account with Holding Company (including RSO)	—	—
Current maturities of long term loan	—	—
Interest accrued	9.45	8.66
Claims & other receivables*	263.05	259.96
Less : Allowance for doubtful claims	15.80	9.30
TOTAL	256.70	259.32

- *Since coal became excisable w.e.f. 01.03.2011, Royalty and SED were considered as "Other Taxes" and excluded from the Transaction Value. Consequent upon the summon issued by the Directorate General of Central Excise Intelligence (DGCEI), New Delhi and discussion held thereon, CIL, Holding Company, who represented the issue, has advised to include Royalty and SED in the Transaction Value and pay Central Excise Duty under protest till the case pending in the Nine Member Bench of Hon'ble Supreme Court is disposed off. Accordingly Rs. 85.14 Crs. has been paid under protest against coal dispatched and on consumption of raw coal in washeries during the period from March'2011 to February'2013 and consequently supplementary bills have been raised for the said period to the tune of Rs.79.95 Cr. Out of Rs.79.95 Cr., balance realizable amount of Rs.4.06 Cr. from cash sales customers has been shown under the head "Other Receivable". Out of Rs.4.06 Cr., customers have obtained stay order for Rs. 2.63 Cr. from Hon'ble High Courts of Kolkata and Jharkhand and against balance of Rs.1.43 Cr., provision of Rs.1.41 Cr. has been made.
- Deposit with banks under mine closure plan is Rs.1250.53 Cr. (Previous Year Rs.1285.68 Cr.) including interest on Escrow Account of Rs.365.52 Cr. (Previous Year Rs. 321.80 Cr.) refer note no. 21.
- Interest accrued on Bank Deposits includes accrued interest on deposits under mine closure plan of Rs. 6.68Crs. (P.Y. Rs.5.81 Crs.)
- Escrow Account Balance

Balance in Escrow Account (Current/ Non Current) on opening date	1,285.68	1,182.01
Add: Balance Deposited during the Year	115.55	113.13
Add: Interest Credited during the year	43.72	67.89
Less: Amount Withdrawn during the Year	194.42	77.35
Balance in Escrow Account (Current/ Non Current) on Closing date	1,250.53	1,285.68



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS AS AT 31ST MARCH, 2021

NOTE 10 : OTHER NON-CURRENT ASSETS

	(Rs. in Crores)			
	As at 31.03.2021		As at 31.03.2020	
(i) Capital Advances	667.61		482.37	
Less : Provision for doubtful advances	0.16	667.45	0.09	482.28
(ii) Advances other than Capital Advances				
(a) Security Deposit for utilities	6.58		7.83	
Less : Provision for doubtful deposits	—	6.58	—	7.83
(b) Other Deposits and advances	0.02		0.02	
Less : Provision for doubtful deposits	—	0.02	—	0.02
(c) Progressive Mine Closure Expense incurred		625.58		501.47
(d) Advances to related parties		—		—
TOTAL	1,299.63		991.60	

Particulars	Closing Balance		Maximum Amount Due at Any Time During	
	Current Year	Previous Year	Current Year	Previous Year
	(Rs. in crores)	(Rs. in crores)	(Rs. in crores)	(Rs. in crores)
Due by the Companies in which Directors of the Company is also a Director/ Member	NIL	NIL	NIL	NIL
Due by the parties in which the Director(s) of Company is /are interested	NIL	NIL	NIL	NIL

- 1 Capital Advance of Rs. 667.61 Cr. Includes Rs.157.04 Cr. given to EC Railway for construction of Tori-Shivpur Rail Line.

**NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS AS AT 31ST MARCH, 2021****NOTE 11 : OTHER CURRENT ASSETS**

(Rs. in Crores)

	As at 31.03.2021		As at 31.03.2020	
(a) Advance for Revenue (for goods & services)	54.39		58.57	
Less : Provision for doubtful advances	0.53	53.86	0.54	58.03
(b) Advance payment of statutory dues	160.31		155.70	
Less : Provision for doubtful advances	0.89	159.42	0.89	154.81
(c) Other Advances and Deposits	1,331.34		1,326.41	
Less : Provision for doubtful advances	19.12	1,312.22	20.27	1,306.14
(d) Progressive Mine Closure Expense incurred		131.07		325.49
(e) Input Tax Credit Receivable	1054.65		880.25	
Less: Provision	—	1054.65	—	880.25
(f) MAT Credit Entitlement	—		—	
Less: Provision	—	—	—	—
TOTAL		2,711.22		2,724.72

Particulars	Closing Balance		Maximum Amount Due at Any Time during	
	Current Year	Previous Year	Current Year	Previous Year
	(Rs. in crores)	(Rs. in crores)	(Rs. in crores)	(Rs. in crores)
Due by the Companies in which Directors of the Company is also a Director/ Member (With name of the Companies)	NIL	NIL	NIL	NIL
Due by the parties in which the Director(s) of Company is /are interested	NIL	NIL	NIL	NIL

- Advance for Revenue includes NIL (P.Y. Rs. 8.60 Cr.) paid to various Govt. Agencies/ Departments against CSR activities.
- By virtue of enactment of Cess and Other Taxes on Minerals (Validation) Act, 1992, the Company, in 1992-93, raised supplementary bills on customers up to 4th April, 1991 for Rs.100.33 Crs. on account of Cess and Sales Tax thereon. The said amount is recoverable from customers and shown under the head Claim Receivable others and the corresponding amount has also been included in statutory dues payable for Royalty and Cess under the head " Other Current Liabilities" (Note-23).



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS AS AT 31ST MARCH, 2021

NOTE 12 : INVENTORIES

	(Rs. in Crores)	
	As at 31.03.2021	As at 31.03.2020
(a) Stock of Coal	1,163.03	1,103.27
Coal under Development	—	—
	1,163.03	1,103.27
(b) Stock of Stores & Spares (at cost)	121.22	121.09
Add: Stores-in-transit	1.81	4.42
Net Stock of Stores & Spares (at cost)	123.03	125.51
(c) Stock of Medicine at Central Hospital	0.65	0.29
(d) Workshop Jobs and Press jobs	1.96	4.29
Total	1,288.67	1,233.36



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS AS AT 31ST MARCH, 2021

ANNEXURE TO NOTE – 12

Table – A

Reconciliation of Closing Stock of Raw Coal

(Qty in Lakh tonnes) (Value in Rs. Crores)

Particulars	OVERALL STOCK		NON—VENDABLE STOCK/ MIXED STOCK		VENDABLE STOCK	
	Qty.	Value	Qty.	Value	Qty.	Value
1. (A) Opening Stock as on 01.04.2020	134.23	774.47	1.21	—	133.02	774.47
(B) Adjustment in Opening Stock	—	—	—	—	—	—
2. Production for the Year	625.89	14,261.74	—	—	625.89	14,261.74
3. Sub—Total (1+2)	760.12	15,036.21	1.21	—	758.91	15,036.21
4. Off— Take for the Year:						
(A) Outside Despatch	583.57	13,197.57	—	—	583.57	13,197.57
(B) Coal feed to Washeries	70.43	1,054.08	—	—	70.43	1,054.08
(C) Own Consumption	—	0.02	—	—	—	0.02
TOTAL (A)	654.00	14,251.67	—	—	654.00	14,251.67
5. Derived Stock	106.12	784.54	1.21	—	104.91	784.54
6. Measured Stock	104.99	777.58	1.18	—	103.81	777.58
7. Difference (5—6)	1.13	6.96	0.03	—	1.10	6.96
8. Break—up of Difference:						
(A) Excess within 5%	0.57	1.92	—	—	0.57	1.92
(B) Shortage within 5%	1.70	8.88	0.03	—	1.67	8.88
(C) Excess beyond 5%	—	—	—	—	—	—
(D) Shortage beyond 5%	—	—	—	—	—	—
9. Closing stock adopted in A/c. (6—8A+8B)	106.12	784.54	1.21	—	104.91	784.54



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS AS AT 31ST MARCH, 2021

ANNEXURE TO NOTE – 12

Table – B

Summary of Closing Stock of Coal/Coke etc.

(Qty in Lakh tonnes) (Value in Rs. Crores)

Particulars	Raw Coal	Washed/Deshaled Coal					Other Products*		Total	
	Qty	Coking		Non—Coking		Value	Qty	Value	Qty	Value
		Value	Qty	Value	Qty					
Opening Stock (Audited)	134.23	774.47	0.67	36.89	0.06	0.83	15.92	291.08	150.88	1,103.27
Less: Non—vendable Coal/ Mixed Stock	1.21	—	—	—	—	—	—	—	1.21	—
Adjusted Opening Stock (Vendable)	133.02	774.47	0.67	36.89	0.06	0.83	15.92	291.08	149.67	1,103.27
Production	625.89	14,261.74	4.37	292.70	55.10	1,708.37	9.49	433.23	694.85	16,696.04
Offtake										
(A) Outside Despatch	583.57	13,197.57	3.58	258.34	55.15	1,709.15	8.92	417.12	651.22	15,582.18
(B) Coal feed to Washeries	70.43	1,054.08	—	—	—	—	—	—	70.43	1,054.08
(C) Own Consumption	—	0.02	—	—	—	—	—	—	—	0.02
Closing Stock	104.91	784.54	1.46	71.25	0.01	0.05	16.49	307.19	122.87	1,163.03
Less: Shortage	—	—	—	—	—	—	—	—	—	—
Closing Stock (Adopted)	104.91	784.54	1.46	71.25	0.01	0.05	16.49	307.19	122.87	1,163.03

- Value of Despatch of Other Products includes value of Non Coking Slurry and Rejects, but quantity of Despatch does not include despatch of Non Coking Slurry NIL MT (P.Y. 27211 MT) and Rejects (Both Coking & Non Coking) 147037 MT (P.Y. 961343 MT).
- Closing Stock of Non Coking Slurry and Coking and Non Coking Rejects as on 31.03.2021 is 242562 MT (P.Y. 242279 MT) and 6470427 MT (P.Y. 6445721 MT) respectively, valued at NIL in absence of availability of ready market. Sales are recognised on realisable basis.
- Closing stock of coal is measured volumetrically and converted to weight (tonne) by applying the identified conversion factor. To take care of the inherent approximation error of volumetric measurement and subsequent conversion thereof to weight by applying a mathematically determined conversion factor, the variance of (+/-)5% between book stock and physical stock is ignored as per Accounting Policy of the Company being followed consistently over the years and the net shortage of Book Stock (Vendable) of 1.10 Lakh tonne valuing Rs. 6.96 Cr. remains unadjusted in the Books of Account.
- Contaminated Clean Coal of 83795 MT lying since 1995-96 at Kathara washery is not included in the closing stock and valued at NIL.



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS AS AT 31ST MARCH, 2021

NOTE 13 : TRADE RECEIVABLES

(Rs. in Crores)

	As at 31.03.2021	As at 31.03.2020
Secured considered good	—	—
Unsecured considered good	3,402.53	2,492.11
Have significant increase in credit risk	—	—
Credit impaired	288.26	283.38
	3,690.79	2,775.49
Less : Allowance for bad & doubtful debts	288.26	283.38
	3,402.53	2,492.11
Total	3,402.53	2,492.11

Sl.	Particulars	Closing Balance		Maximum Amount Due at Any Time during	
		Current Year	Previous Year	Current Year	Previous Year
		(Rs. in crores)	(Rs. in crores)	(Rs. in crores)	(Rs. in crores)
1.	Due by the Companies in which Directors of the Company is also a Director/Member	NIL	NIL	NIL	NIL
	Due by the parties in which the Director(s) of Company is /are interested	NIL	NIL	NIL	NIL

- Trade Receivable above is netted off of Coal Quality Variance amounting to Rs. 522.82 Crore (P.Y. Rs. 841.15 Crore)
- Movement of Provision against Trade Receivables

PARTICULARS	AMOUNT	
	Bad & Doubtful Debts	Quality Variance
Opening Balance as on 01.04.2020	283.38	841.15
Add : Provision made during the year Balance Provision	4.88	218.00
	288.26	1,059.15
Less : Provision Withdrawn	—	536.33
Balance provision against Trade Receivables as on 31.03.2021	288.26	522.82



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS AS AT 31ST MARCH, 2021

NOTE 14 : CASH AND CASH EQUIVALENTS

	(Rs. in Crores)	
	As at 31.03.2021	As at 31.03.2020
(a) Balances with Banks		
in Deposit Accounts	0.39	0.39
in Current Accounts		
- Interest Bearing	143.24	85.67
- Non-interest Bearing	112.39	97.94
in Cash Credit Accounts	—	—
(b) Bank Balances outside India	—	—
(c) Cheques, Drafts and Stamps in hand	0.02	—
(d) Cash on hand	—	—
(e) Cash on hand outside India	—	—
(f) Others (Remittance in transit)	—	—
Sub-total Cash and Cash Equivalents	256.04	184.00
(g) Bank Overdraft	—	—
Total Cash and Cash Equivalents (net of Bank Overdraft)	256.04	184.00

Note:

- Balances with banks to the extent held as margin money or security against the borrowings, guarantees, other commitments is Rs. NIL.
- Balance of Cash on Hand is as per Cash Verification Report certified by the management.
- The bank guarantees issued by CCL on account of court case in M/s Nav Shakti Fuels Vs CCL & Others in FA No. 101/2007 against lien secured by Deposits in Account no. 0404002100045433 for an amount of Rs. 0.39 Cr.

**CENTRAL COALFIELDS LIMITED**

(A Mini Ratna PSU)

A Subsidiary of Coal India Limited

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS AS AT 31ST MARCH, 2021**NOTE 15 : OTHER BANK BALANCES**

	(Rs. in Crores)	
	As at 31.03.2021	As at 31.03.2020
Balances with Banks		
Deposit Accounts	949.00	454.39
Deposit Accounts (for Specific Purposes)	37.69	36.46
Mine Closure Plan	—	—
Shifting and Rehabilitation Fund scheme	—	—
Escrow Account for Buyback of Shares	—	—
Unpaid Dividend Accounts	—	—
Dividend Accounts	—	—
Total	986.69	490.85

Deposits includes —

- i) Rs. 6.93 Cr. deposited against the order of the Hon'ble High Court, Kolkata against a claim from customer which includes interest of Rs. 2.51 Cr. with corresponding liability in Other Current Liability (Note-23).
- ii) Rs. 30.76 Cr. deposited as per order of Hon'ble High Court, Kolkata against 20% extra price charged from parties during the period Nov. 2006 to April 2008.



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS AS AT 31ST MARCH, 2021

NOTE 16 : EQUITY SHARE CAPITAL

	(Rs. in Crores)	
	As at 31.03.2021	As at 31.03.2020
AUTHORISED		
1,10,00,000 Equity Shares of Rs. 1000/- each (1,10,00,000 Equity Shares of Rs. 1000/- each)	1,100.00	1,100.00
ISSUED, SUBSCRIBED AND PAID UP		
94,00,000 Equity Shares of Rs. 1000/- each (94,00,000 Equity Shares of Rs. 1000/- each)	940.00	940.00
	940.00	940.00

1. Out of the above 9399997 Shares are held by the holding company, Coal India Limited (CIL) and balance 3 shares are held by its nominees.
2. Shares in the company held by each shareholder holding more than 5% Shares

Name of Shareholder	As at 31.03.2021		As at 31.03.2020	
	No. of Shares Held (Face value of Rs. 1000 each)	% of Total Shares	No. of Shares Held (Face value of Rs. 1000 each)	% of Total Shares
Coal India Limited	9399997	100	9399997	100

3. The Company has only one class of equity shares having a face value Rs. 1000/- per share. The holders of the equity shares are entitled to receive dividends as declared from time to time and are entitled to voting rights proportionate to their share holding at the meeting of shareholders. No larger dividend shall be declared than is recommended by the Board of Directors.



NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS AS AT 31ST MARCH, 2021

NOTE 17 : OTHER EQUITY

(Rs. in Crores)

Particulars	General Reserve	Retained Earnings	OCI	Total
Balance as at 01.04.2019	2,153.70	1,914.90	134.44	4,203.04
Changes in Accounting Policy	—	—	—	—
Prior Period Errors (Net of Tax)	—	—	—	—
Balance as at 01.04.2019	2,153.70	1,914.90	134.44	4,203.04
Additions during the year	—	—	—	—
Adjustments during the year	—	(0.03)	—	(0.03)
Profit for the Year	—	1,848.53	(244.24)	1,604.29
Appropriations				
Transfer to / from General reserve	92.39	(92.39)	—	—
Transfer to / from Other reserves	—	—	—	—
Interim Dividend	—	(294.22)	—	(294.22)
Final Dividend	—	—	—	—
Corporate Dividend tax	—	(60.48)	—	(60.48)
Buyback of Equity Shares	—	—	—	—
Tax on Buyback	—	—	—	—
Pre—operative expenses	—	—	—	—
Reimbursement of Defined Benefit Plan (Net of Tax)	—	—	—	—
Balance as at 31.03.2020	2,246.09	3,316.31	(109.80)	5,452.60
Balance as at 01.04.2020	2,246.09	3,316.31	(109.80)	5,452.60
Additions during the year	—	—	—	—
Adjustments during the year	—	0.29	—	0.29
Changes in accounting policy or prior period errors	—	—	—	—
Profit for the year	—	1,222.23	(64.28)	1,157.95
Appropriations :				
Transfer to / from General reserve	61.06	(61.06)	—	—
Transfer to / from Other reserves	—	—	—	—
Interim Dividend	—	—	—	—
Final Dividend	—	—	—	—
Corporate Dividend tax	—	—	—	—
Buyback of Equity Shares	—	—	—	—
Tax on Buyback	—	—	—	—
Reimbursement of Defined Benefit Plan (Net of Tax)	—	—	—	—
Balance as at 31.03.2021	2,307.15	4,477.77	(174.08)	6,610.84